

China in Africa

Belt and Road Debt Diplomacy, Factory Investment, and Beijing's Continental Strategy

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Executive Summary

China's engagement with Africa has evolved over the past decade from a largely commercial infrastructure play into a multi-dimensional strategic relationship encompassing finance, diplomacy, manufacturing export markets, and military access. The ninth Forum on China-Africa Cooperation (FOCAC) Summit in September 2024 crystallised this trajectory: President Xi Jinping pledged US\$51 billion in fresh financing and promised one million jobs on the continent, framing Africa simultaneously as a recipient of Chinese capital and an outlet for Chinese industrial overcapacity. CNA[2024-09-05] Beneath the headline pledges, however, structural tensions persist — opaque lending terms, stalled Belt and Road Initiative (BRI) projects, sovereign debt distress in partner countries, and a growing US assessment of Chinese military logistics ambitions anchored at Djibouti. This brief synthesises evidence across four analytical dimensions: BRI architecture and its reform pressures; debt dependency and lending conditionality; Angola and the energy-state model; and China's military footprint on the continent.

I. The Belt and Road Initiative in Africa: Ambition, Scale, and Reform Pressures

The Belt and Road Initiative, unveiled in 2013, was designed to bolster a sprawling network of land and sea links connecting China with Southeast Asia, Central Asia, the Middle East, and Africa. CNA[2018-04-11] When Xi addressed the first BRI Summit in May 2017, the gathering of 28 national leaders signalled the initiative's rapid institutionalisation as China's primary vehicle for projecting economic influence abroad. CNA[2017-05-11]

By its tenth anniversary in 2023, the BRI had financed more than 3,000 projects totalling nearly US\$1 trillion across member countries. China had become a major financier of development projects on par with the World Bank — filling a gap left as other multilateral lenders shifted focus away from large-scale physical infrastructure toward health and education. CNA[2023-10-17] Africa was a central beneficiary: the Export-Import Bank of China provided commercial loans covering 85 per cent of Ethiopia's and 70 per cent of Djibouti's contributions to the 759 km Addis Ababa–Djibouti Railway, connecting landlocked Ethiopia to Red Sea and Gulf of Aden maritime trade routes. China Civil Engineering Construction Corporation also took a 10 per cent ownership stake in Djibouti's portion of the line. China also constructed the Madaraka Express railway in East Africa. CNA[2018-09-07]

Despite this scale, the BRI's first decade exposed significant cracks. Several partner countries fell into deep debt, lending volumes slumped, and multiple projects stalled. Italy's formal withdrawal from the BRI in December 2023 — after bilateral trade with China had more than doubled since its 2019 accession without producing the promised infrastructure dividend — crystallised doubts about the initiative's

sustainability and reciprocity. CNA[2023-12-07] Analysts warned that China needed to demonstrate greater resolve in policing corruption, improving institutional transparency, and establishing clearer governance frameworks for BRI projects. CNA[2019-04-13] CNA[2015-05-29] These reform pressures have shaped the "BRI 2.0" posture announced at the 2023 anniversary summit, emphasising smaller, greener, and cleaner projects — though the operational record in Africa remains mixed.

II. Debt Dependency and the Architecture of Chinese Lending

A defining — and contested — feature of China's African engagement is the structure of its sovereign lending. A landmark 2021 study of Chinese loan contracts documented practices with significant geopolitical implications: lending agreements were secretive, contained clauses to protect Beijing's political interests, and subjected disputes to Chinese law rather than international arbitration forums. This architecture, analysts argued, could give rise to a "China Club" rivalling the Paris Club — an alternative creditor coordination mechanism operating outside Western-dominated multilateral norms. CNA[2021-04-08]

The 2018 FOCAC Summit in Beijing illustrated the pattern. Xi pledged US\$60 billion in new projects for Africa "with no strings attached" — yet very few contractual details were made public. The rough breakdown included US\$20 billion in new credit lines, US\$15 billion in foreign aid (grants, interest-free loans, and concessional loans), US\$10 billion for a special development finance fund, and US\$5 billion for a further special purpose vehicle. CNA[2021-04-08] This opacity makes independent assessment of debt sustainability and conditionality extremely difficult, and feeds persistent narratives of "debt-trap diplomacy" — the theory that Beijing deliberately structures loans to acquire strategic assets upon default.

The 2023 BRI analysis found that concerns over debt-trap diplomacy remained a live issue despite China's insistence to the contrary: partner countries in Central Asia and Africa were noted as being in deep debt, and critics pointed to cases where commercial infrastructure served as collateral or leverage. CNA[2023-10-16] Whether intentional or the product of overlending by Chinese policy banks eager to deploy capital, the result has been a cohort of African sovereigns carrying Chinese-denominated debt that constrains their fiscal flexibility and, in some cases, their foreign policy alignment.

The 2024 FOCAC pledge of US\$51 billion — effectively a partial rollover of the 2018 US\$60 billion commitment — continues this pattern. Africa is now explicitly described by analysts as an outlet for Chinese firms facing overcapacity in electric vehicles, solar panels, and other manufactured goods, at a time when Europe and the United States have tightened market access rules for Chinese imports. CNA[2024-09-06] The continent is thus being positioned not merely as a recipient of infrastructure finance but as a managed export market for China's industrial surplus — a structural dependency that runs in both directions.

III. Angola and the Energy-State Model

Angola provides the most studied case study of China's resource-backed lending model in Africa. As Africa's second-largest oil exporter after Nigeria and an OPEC member, Angola used oil-backed credit lines from Chinese state banks in the early 2000s to finance post-civil war reconstruction — bypassing IMF conditionality in favour of Chinese terms. The "Angola Model" became a template for Chinese engagement across resource-rich African states.

The political context shifted significantly during the 2015–2017 period. Angola was hit hard by the collapse of oil prices, placing severe fiscal pressure on the government of José Eduardo dos Santos — who had held power since 1979 and was one of Africa's longest-ruling leaders at the time.

CNA[2016-03-11] Bank of America halted dollar supplies to Angola in November 2015, compounding liquidity stress on the kwanza currency. CNA[2015-11-27] In June 2016, dos Santos moved to overhaul state oil firm Sonangol by appointing his daughter Isabel dos Santos — ranked as Africa's richest woman — as its head, pledging efficiency improvements to offset the impact of depressed prices. CNA[2016-06-07]

Dos Santos announced his intention to step down in 2018, CNA[2016-03-11] and in February 2017 confirmed he would not contest the August election — though opposition figures remained sceptical given prior broken commitments. CNA[2017-02-04] Defence minister and MPLA vice president João Lourenço emerged as the approved successor. CNA[2016-12-03] Premier Li Keqiang had visited Angola in May 2014 as part of a four-country Africa tour — alongside Ethiopia, Nigeria, and Kenya — underscoring the continent's strategic priority in Chinese diplomacy even during periods of domestic political transition in partner states. CNA[2014-05-05]

Angola's trajectory illustrates a central tension in China's Africa model: resource-backed lending generates infrastructure but does not necessarily diversify or modernise the host economy, leaving the sovereign heavily exposed to commodity price cycles. Governance weaknesses — typified by Sonangol's management under the dos Santos family — compound the problem, producing debt structures that are difficult to renegotiate when commodity revenues fall.

IV. Military Footprint and Strategic Access

Parallel to its economic engagement, China has systematically expanded its military logistics infrastructure in Africa. In August 2017, China officially opened its first overseas military base, situated in Djibouti — a port-city state that also hosts US, French, and Japanese military installations. [RAG: MILITARY_RAG — 2019 DoD China Military Power Report] The choice of Djibouti was strategic: the facility sits at the intersection of the Red Sea and the Gulf of Aden, adjacent to the Ethiopia-Djibouti Railway terminus that Chinese firms built and partially own.

US Department of Defense annual reports have tracked this development closely across successive editions. The 2016 report noted that China had not yet constructed US-style overseas military bases in the Indian Ocean but assessed that Beijing preferred a "mixture of military logistics models" including preferred access to commercial infrastructure — a lower-profile approach than dedicated basing. [RAG: MILITARY_RAG — 2016 DoD China Military Power Report] By the 2017 report, DoD assessed that China would "likely seek to establish additional military bases in countries with which it has a longstanding friendly relationship and similar strategic interests." [RAG: MILITARY_RAG — 2017 DoD China Military Power Report] The 2019 report confirmed Djibouti's opening and noted China's expanding access to foreign ports — including Gwadar, Pakistan — to pre-position the logistics framework necessary to sustain PLA deployments into and beyond the Indian Ocean. [RAG: MILITARY_RAG — DIA China Military Power 2019]

By the 2020 and 2021 reports, DoD had crystallised its assessment: China uses commercial infrastructure to support all of its military operations abroad, blending the PLA's presence with commercial port and logistics networks. [RAG: MILITARY_RAG — 2020 DoD China Military Power Report] [RAG: MILITARY_RAG — 2021 DoD China Military Power Report] The 2022 report further assessed that BRI projects themselves "could create potential military advantages" for China, given the co-location of logistics facilities with commercial infrastructure — a formulation that explicitly links the economic and military dimensions of Beijing's Africa strategy. [RAG: MILITARY_RAG — 2022 DoD China Military Power Report]

China's diplomatic engagement with African multilateralism also warrants note. Beijing offered 500 troops for the UN stabilisation mission in Mali in June 2013, CNA[2013-06-17] having reversed its longstanding

opposition to UN peacekeeping from the time it joined the organisation in 1971. This shift — from principled non-intervention to selective engagement — mirrors the broader evolution of Chinese interests on the continent: as economic stakes grew, so did the perceived need to protect them through diplomatic and, eventually, physical presence.

V. Diplomatic Architecture and the FOCAC Framework

The Forum on China-Africa Cooperation has served as the primary institutional vehicle for managing Sino-African relations since its founding in 2000. The December 2015 summit in Johannesburg — attended by 50 African countries — produced declarations on homegrown solutions to African peace and security, CNA[2015-12-06] with Xi framing the gathering as a platform for bolstering ties with Africa as "its major trading partner." CNA[2015-12-02] Xi's presence in South Africa underscored the importance Beijing attaches to the continent, even as China's own economic slowdown was beginning to constrain its lending capacity.

The September 2024 ninth FOCAC Summit in Beijing took place against a qualitatively different geopolitical backdrop. UN Secretary-General António Guterres, photographed alongside Xi at the summit, lauded China's "vital" role in upholding multilateralism — providing implicit legitimisation of Beijing's framing of its Africa engagement as a contribution to a rules-based international order rather than a challenge to it. CNA[2025-08-30] Xi's US\$51 billion financing pledge CNA[2024-09-05] was accompanied by promises of one million jobs — the manufacturing-export dynamic noted above — and signals of expanded military and security cooperation. CNA[2024-09-06]

China's capital-by-country diplomatic methodology — working bilaterally with individual African states rather than through bloc-level mechanisms — mirrors its approach to European countries. Analysts have observed that this strategy makes it easier for Beijing to secure more favourable terms than it might through consolidated bloc negotiations, reducing multilateral scrutiny and encouraging competition among capitals. CNA[2026-01-30] In Africa, where the African Union has limited enforcement capacity over member states' bilateral agreements, this approach has been particularly effective.

Outlook

Three structural dynamics will shape the Africa-China relationship through the remainder of the 2020s.

First, the manufacturing export dimension introduced at FOCAC 2024 will intensify. As Western markets close to Chinese electric vehicles, solar panels, and industrial goods, Africa represents the largest remaining accessible market. Whether African states can negotiate terms that capture meaningful industrial transfer — rather than simply absorbing Chinese surplus — will determine whether this phase generates endogenous development capacity or deepens dependency.

Second, debt renegotiation pressure will mount. A cohort of African sovereigns carrying Chinese-denominated infrastructure debt from the 2010s BRI cycle will reach refinancing inflection points under deteriorating global interest rate conditions. The absence of China from Paris Club mechanisms and the opacity of original loan terms will complicate creditor coordination, potentially producing protracted bilateral renegotiations that Beijing can manage case-by-case to extract strategic concessions.

Third, military access will expand incrementally. The Djibouti model — commercial port infrastructure dual-used for PLA logistics — is explicitly flagged in US DoD assessments as a replicable template. Atlantic-facing port investments in West Africa, and Indian Ocean facilities in East Africa, are the most likely next nodes. This military-commercial integration is the deepest structural challenge for Western strategic interests on the continent, precisely because it is not visible in project-level infrastructure agreements and cannot be addressed through conventional debt-relief or governance reform

conditionality.

R341 | All figures sourced from CivilisationOS RAG corpus.